

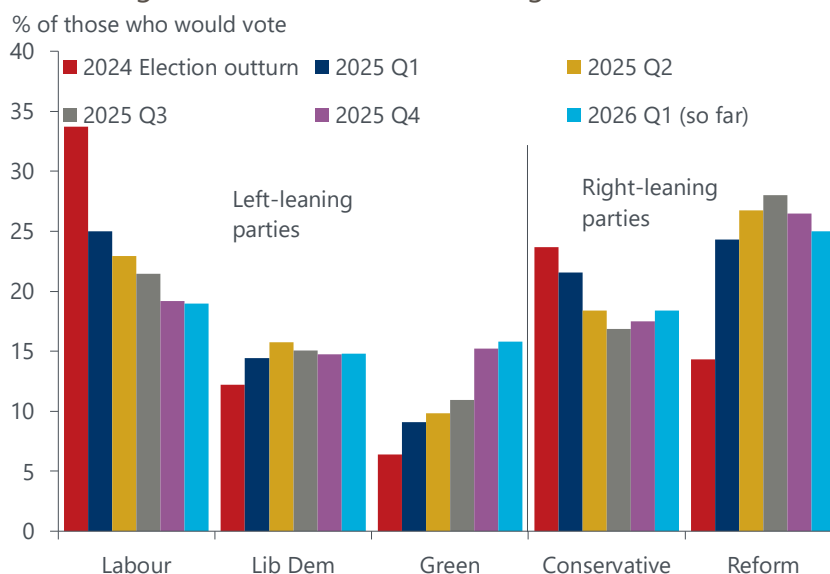
Research Briefing | UK

Would a change in Labour's leadership affect economic policy?

- Keir Starmer's position as Labour leader and Prime Minister is under rising pressure from Labour's poor poll ratings. If Starmer is ousted, the main alternatives (Wes Streeting, Angela Rayner, Shabana Mahmood and, less likely this year, Andy Burnham) would all probably imply a shift in economic policy priorities.
- Such a change might include a further shift to 'tax and spend' (Rayner), increased borrowing for the nationalisation of utilities (Burnham), persistent low inward migration (Mahmood), or a more pro-EU stance (Streeting).
- We doubt any of these alternatives would significantly lift potential economic growth in the next few years. Indeed, tax and spend or persistent low net migration would probably damage potential growth. But a major shift to closer EU trade links could boost potential growth in the medium term.
- Whether Starmer stays as Labour leader and PM or is replaced, fiscal slippage is likely versus the existing restrictive plans as the government seeks to regain the support of voters ahead of the next general election (due by mid-2029).
- Pressure for a change in Labour leader may escalate further if the party performs badly in the May elections, which cover local government and some mayors in England, as well as the Scottish and Welsh Parliaments.
- The implications of this political uncertainty and other possible economic policy changes for the interest rate outlook will depend mainly on the scale of any fiscal slippage and the response of sterling and gilts. Most likely, these effects won't stop the Bank of England from cutting rates further this year, but may reduce the likelihood of very sharp rate cuts in the next year or two.

Chart 1: Labour's poll ratings have fallen sharply since the 2024 election

UK: Voting intentions (and actual voting in 2024 election)



Source: Oxford Economics/Haver Analytics
Sources: Oxford Economics, Haver Analytics

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Why is Starmer's position as Labour leader (and PM) under pressure?

The key reason is that the poll ratings for Labour – and Starmer personally – have nose-dived. According to the regular YouGov tracker, Labour's vote share fell from 33.7% in the 2024 election to 25% in Q1 last year, and has averaged 19% so far in early 2026 ([Chart 1](#)). These recent levels are the lowest for at least 50 years.

Such poll ratings, if sustained, would mean that most Labour MPs would lose their seats. Of course, the next general election could be as late as July 2029, but some Labour MPs already believe their electoral position is probably unrecoverable with Starmer as PM.

When might Starmer face the most pressure?

It's unlikely that there will be any move to oust Starmer as PM before the elections scheduled for early May, which cover local government and some regional mayors in England, as well as the Scottish and Welsh parliaments. Labour politicians are likely to judge that those elections provide a much truer test than opinion polls of how people would actually vote in a general election.

This is partly because most people don't pay much attention to politics outside election campaigns, and so at present may have weakly held views about which party they would vote for. Moreover, this year's May elections will be relatively broad-based, as they include elections for the Scottish and Welsh parliaments (which are held every five years). A delay until May reduces the risk of a new Labour leader facing an immediate test of public opinion, which, if it goes badly, might create pressure for another change of leader straight away. In addition, opinion polls are unlikely to capture tactical voting, and [anti-Reform tactical voting](#) might lead to Reform winning fewer parliamentary seats in a general election (and help Labour win more seats) than their vote shares imply.

Most of the drop in Labour's support since the last election (and especially over the past year) has been to the Liberal Democrats and, especially, the Greens, rather than to the Conservatives or Reform. For example, the combined support for left-leaning parties (Labour, Lib Dems, and Greens) has risen from 48% a year ago to 50% now, although it is still below the 2024 election level (52%). Conversely, the combined total for right-leaning parties (Reform and Conservatives) is up from the last election, but has fallen from 47% a year ago to 44% now. Roughly 85% of people who voted for the left-leaning bloc in the 2024 election say they would do so again in a general election (a slightly higher share, around 90%, of those who voted for right-leaning parties in the 2024 election also say they would do so again now). Labour politicians probably hope that some of those left-leaning voters will return to vote Labour if faced with the imminent prospect of a Reform-led government.

What are the rules for changing the Labour leader?

The formal process of changing the Labour leader is lengthy and cumbersome (see [here](#) and [here](#)). If there's no vacancy (ie Starmer hasn't resigned), then an MP wishing to challenge him must be supported by 20% of Labour MPs (80 or 81 out of 404 total MPs at present). If this threshold is reached, a leadership election is triggered, with the incumbent leader automatically on the ballot paper. Other candidates must have the support of at least 20% of Labour MPs as well as pass specific thresholds of support among constituency parties and affiliates of the Labour Party (eg trades unions). All Labour Party members and affiliated bodies can then vote among these candidates. Given Labour's large parliamentary majority, whoever wins the Labour leadership would become Prime Minister.

In practice, Starmer might (like Tony Blair in 2007) be ousted by a collapse of support among MPs or senior ministers in the Cabinet. In this case, it's less likely that Starmer would stand in a leadership election, and the rules above would apply to other candidates.

In either case, Starmer would probably remain as PM until the new Labour leader is chosen. In last year's election for the Labour deputy leader, the whole process took seven weeks (from September 5 to October 25). In theory, it's possible the process could be quicker if Labour MPs only allow one candidate to reach the required threshold of 20% of support, but that would require an unusual degree of coordination (and might be regarded as anti-democratic, depriving Labour Party members of the chance to vote).

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Who might replace Starmer?

Betting odds suggest there are four main candidates to succeed Starmer, in the event he's ousted.

- Angela Rayner, MP and, until last year, deputy prime minister;
- Shabana Mahmood (MP and Home Secretary);
- Wes Streeting, MP and Health Secretary;
- Andy Burnham (Manchester Mayor).

In practice, if Starmer is ousted this year, in our view, it's unlikely that Burnham would replace him straight away. Labour's rules only allow MPs to stand for the party leadership, and Burnham currently isn't an MP. Moreover, his only route to becoming an MP is if Labour's National Executive Committee allows him to be a candidate in a by-election, and the party's leadership has currently blocked this route. In addition, Labour's poll ratings are so poor that it's far from certain Burnham would win most by-elections anyway, so he also needs the right seat to come up. Conceivably, Burnham could be allowed to stand as an MP further ahead, and hence become a candidate for Prime Minister if Starmer remains in this role beyond this year.

Policy implications of a change of leadership (or if there is no change)

Speculation about a change in the Labour leadership – and the choice among these (or other candidates) – is partly about personalities but is also about policy. The current government has generally sought to tack left on economic policy (for example, sharp rises in taxes and public spending relative to the previous government's plans, increased workers' rights), but, in some respects, it has tacked right on cultural issues (for example, aiming to reduce inward migration).

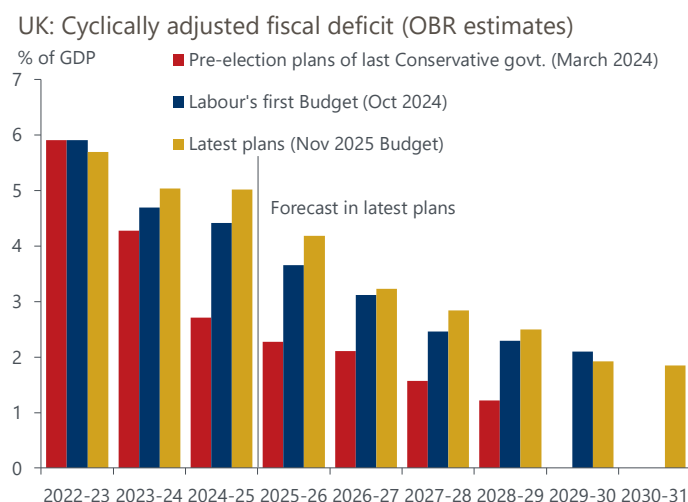
Before the 2024 election, Labour stressed that its priority was to lift economic growth. But, so far, its policies seem unlikely to materially lift potential growth in the next few years. Moreover, the side-effect of the government's fiscal measures has probably added to the recent stickiness of inflation – for example, through increases in National Insurance Contributions and utility prices.

This year, the government seems to be making a shift to emphasise cost-of-living policies that aim to lower inflation directly – for example, by freezing rail fares and, in April, cutting household energy bills. This is consistent with polling that suggests the cost of living is the [top issue of concern among voters](#), and also may be an attempt to replicate the [successful strategy](#) of the Albanese government in Australia in last year's general election. The government is also seeking a modest shift to reduce trade barriers with the EU, while not breaching its so-called "red lines" that rule out joining a Customs Union with the EU, the EU single Market or rejoining the EU itself.

Under any of these alternative PMs, or with Starmer remaining as PM, some fiscal slippage is likely versus the current plans. So far, the Labour government has largely deferred the net fiscal tightening that was built into the prior (Conservative) government's fiscal plans. The near-term plans for public spending have been raised, matched by delayed tax hikes in the run-up to the next general election ([Chart 2](#)). Under any Labour leader, it's likely that the aim of lifting Labour's poll ratings will mean the planned fiscal tightening will not all occur, for example, via extra public spending, scrapping (or deferring) some planned tax hikes, or introducing new fiscal measures to contain the cost of living. We doubt this will mean an outright shift to fiscal stimulus. More likely is that, with the rolling horizon of the fiscal rules, the government will repeatedly commit to future tightening that, in practice, is partly postponed again and again.

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Chart 2: Planned fiscal tightening may be partly deferred again, whoever is Labour leader



Sources: Oxford Economics, Haver Analytics

Any of these alternative PMs would probably feel able to abandon or soften the so-called "red-lines" in [Labour's 2024 election manifesto](#), for example those ruling out a range of tax hikes or a major move towards closer trade links with the EU.

In addition, it seems likely in our view that these alternative leaders would have different priorities, based on their public statements and voting records.

Angela Rayner would probably seek a further shift to tax and spend. For example, early last year, she called for the government to [scrap planned welfare reforms and instead hike taxes](#). The government eventually chose this option after opposition to its welfare reforms among MPs, albeit with a different mix of tax hikes. Given that different approach, it's unlikely that she would choose to keep Rachel Reeves as Chancellor. She supported Remain in the Brexit referendum, but [reports says](#) she "didn't have a particularly strong view either way".

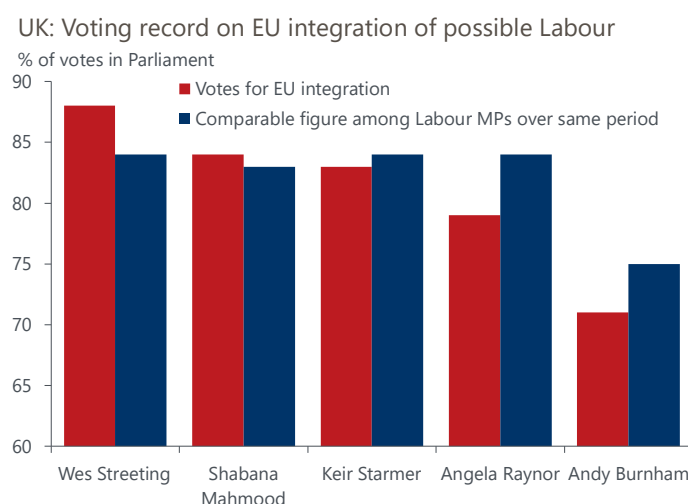
Shabana Mahmood has little record of taking a strong view on economic issues, but as Home Secretary she has focused heavily on [measures to limit net inward migration](#) and curb the number of asylum seekers. If she becomes PM, therefore, it seems likely she would aim to keep net inward migration low in the coming years, beyond the near-term decline that seems likely anyway. That approach might have indirect economic consequences, because persistent low inward migration would reduce population growth and potential growth, hence eroding tax revenue and worsening the fiscal position.

Wes Streeting would be likely to adopt a Blair-ite policy of making greater use of private provision in public services, given his [support](#) for this approach in the health service. In addition, he would probably adopt a more pro-EU stance: he has recently called for the UK to join a customs union with the EU and has a [strong record of voting in favour of closer EU integration](#) in Parliament (relative to the votes of other Labour MPs over the same period), see [Chart 3](#).

A move to join a customs union or the EU Single Market might need to be preceded by a referendum (after the next general election) to convince the EU that the UK's membership would be durable. So, one approach for a Streeting-led government would be to commit to holding such a referendum in the next Parliament (i.e., after the next general election). If so, it would be logical to precede this with a serious government-led program of independent authoritative research during this parliament into the economic costs and benefits of Brexit and different alternatives for future UK-EU trade relations (eg Customs Union, Single Market, EU membership), similar to the [work done ahead of the 2003 decision](#) on whether to join the euro.

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Chart 3: Wes Streeting has a more pro-EU voting record in Parliament than other likely Labour leaders



Sources: Oxford Economics, Haver Analytics

Andy Burnham would be likely to favour the nationalisation of key public utilities and a greater role for the public sector in housebuilding. For example, in a [recent interview](#), he argued, "Because when you've lost control of housing, energy, water, rail, buses, you've lost control of the basics of life, but you've also then lost control of costs and public spending...If you've not got control of housing, you've not got control of the costs the country is facing". He's also a strong advocate for regional devolution and electoral reform to introduce proportional representation. In the same interview, he argued, "The idea of a government elected on a minority of the vote is untenable". A change in the electoral system would probably need to be preceded by a referendum, and so a Burnham-led government might also commit to holding a referendum in the next Parliament. As noted, we regard a shift to Burnham as PM this year as less likely than the other candidates discussed above.

We suspect that all of these possible PMs would keep the main fiscal rule (to eliminate the current budget deficit, so that government borrowing doesn't exceed public investment) on a forward-looking rolling horizon. One slight wrinkle is that a Burnham-led government might change the fiscal rules to reduce constraints on debt-financed housebuilding and the nationalisation of utilities. One approach could be to shift to a target for public sector net worth. Another would be to exclude public corporations from the fiscal rules, by shifting the focus from debt and deficit measures that cover the whole public sector to measures that just cover general government (a similar approach is used for the EU fiscal rules).

It isn't clear if any of these alternatives would significantly lift Labour's popularity. [Polls](#) suggest Streeting, Burnham, and Rayner all have higher personal favourability ratings than Starmer. A commitment to hold a referendum on electoral reform and/or closer EU trade links might, at the margin, also help create more pro-Labour tactical voting among supporters of the Lib Dems and Green Party, given that polls show strong support for these issues among those groups (see [here](#) and [here](#)). Such a commitment, therefore, might help Labour's poll ratings and also translate those ratings more effectively into parliamentary seats.

We doubt any of these alternative approaches would significantly lift economic growth or potential growth in the next two or three years, other than by boosting demand through fiscal slippage. Indeed, a further shift to tax and spend, or aiming for persistently lower net inward migration, might well damage potential (and actual) growth. An eventual move to join an EU Customs Union or the EU Single Market, which probably is more likely if Streeting is PM, would eventually lift potential output and also could lift demand by reviving business investment. But it is unlikely this effect would be quick, given the probable need for a referendum and lengthy negotiation before membership occurred.

Implications for asset prices

We suspect that a change in Labour leadership won't prevent the Bank of England's Monetary Policy Committee (MPC) from cutting rates a bit further in the next year or two, unless the change triggers significant weakness in sterling and gilts that signals a major loss of confidence in UK economic

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polymaking. But, at the margin, the prospect of further repeated fiscal slippage would probably reduce the likelihood of the MPC cutting rates a long way (for example, well below 3%) in the next year or two (and this is also the case with Starmer as Prime Minister).

The implications for financial markets of a possible shift in Labour's leadership are likely to be nuanced. An increased prospect of fiscal slippage would, on the face of it, be negative for gilts. But this is probably already discounted, given that some fiscal slippage seems likely under any plausible Labour leader. At the margin, we suspect markets would view the likely policy priorities of Rayner or Burnham as relatively riskier in fiscal terms, and those of Streeter less so (especially if Streeter were to make a major shift towards the EU).

Beyond that, the likely response of financial markets would depend on whether Labour's poll ratings improve, and whether a potential Labour second-term government is viewed as more or less risky for the economy and fiscal outlook than a Reform-led government (which seems the likely alternative). The relative riskiness of a Reform-led government is open to debate, especially given the uncertainty over what its economic policies would be. At the very least, with the rise in right-wing populism, the old cliché that a right-wing government is automatically more likely to be fiscally cautious than a left-leaning one no longer applies.